

Research Workshop Spring 2026

“Writing”

Part 4: Paragraphs

CEMFI

Method: 3 Layers

- **Positioning:** articulate a concise argument about what knowledge the paper contributes
- **Outline:** build an outline to support this argument
- **Paragraphs:** linking the points of the outline

Layer 3: Draft Paragraphs

- What we have done so far (RAP + Outline) impose a certain structure
- Now we will try to fill the structure
- For each section, decide which paragraphs are presented in which order
- Special attention to the Introduction

Paragraphs in the Main Body

- Takeaway section should provoke questions

The Market for "Lemons": Quality Uncertainty and the Market Mechanism



George A. Akerlof

The Quarterly Journal of Economics, Volume 84, Issue 3 (Aug., 1970), 488-500.

B. Asymmetrical Information

It has been seen that the good cars may be driven out of the market by the lemons. But in a more continuous case with different grades of goods, even worse pathologies can exist. For it is quite possible to have the bad driving out the not-so-bad driving out the medium driving out the not-so-good driving out the good in such a sequence of events that no market exists at all.

Paragraphs in the Main Body

- Takeaway section should provoke questions:

The Market for "Lemons": Quality Uncertainty and the Market Mechanism



- How?

George A. Akerlof

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- Answer?

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Paragraphs in the Main Body

- Takeaway section should provoke questions:

B. Asymmetrical Information

- How?
- Answer?
- Next questions

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One can assume that the demand for used automobiles depends most strongly upon two variables — the price of the automobile p and the average quality of used cars traded, μ , or $Q^d = D(p, \mu)$. Both the supply of used cars and also the average quality μ will depend upon the price, or $\mu = \mu(p)$ and $S = S(p)$. And in equilibrium the supply must equal the demand for the given average quality, or $S(p) = D(p, \mu(p))$. As the price falls, normally the quality will also fall. And it is quite possible that no goods will be traded at any price level.

Paragraphs in the Main Body

- By the end of a section, there is an answer
- Descend from takeaway to details
- Each paragraph answers questions posed in takeaway or in previous paragraph

Introduction (key!)

- **Part 1: P** – provoke curiosity (+context?) – 1-2 paragraphs
- **Bridging paragraph (Onion):** “This paper... + R + A”
- **Outline** of argument in (a bit) more details
- + **contribution** (usually at the end)
- In the end the reader should know: what is your question, what is the answer, what did you do to get this answer, why should we care, contribution

Introduction – Part 1

Part 1: P – provoke curiosity (+context?) – 1-2 paragraphs

- Induce curiosity about something
- Readers are lazy and uncertain about how useful this paper is
- Don't:
 - Over-promise
 - Be vague
 - Be dogmatic
 - Give too many details
- Take your P and expand!

Introduction – Part 1

Part 1: P – provoke curiosity (+context?) – 1-2 paragraphs

“For some time now there had been considerable skepticism about the ability of comparative cost theory to explain the actual pattern of international trade so that it seems, now, that a new framework is needed to analyze trade.”

“For some time now there had been considerable skepticism about the ability of comparative cost theory to explain the actual pattern of international trade [what skepticism? why?] so that it seems [what makes it seem this way?], now, that a new framework is needed to analyze trade. [what sort of new framework?]”

- Answers to these questions will constitute the first couple paragraphs of an introduction.
- Shorter than other paragraphs – don’t overwhelm the reader!

Introduction – From Part 1 to Part 2

- Now the reader entered to your world
- Can offer R and A with a concise explanation

American Economic Review 2013, 103(7): 2683–2721
<http://dx.doi.org/10.1257/aer.103.7.2683>

Using Differences in Knowledge Across Neighborhoods
to Uncover the Impacts of the EITC on Earnings 

By RAJ CHETTY, JOHN N. FRIEDMAN, AND EMMANUEL SAEZ 

A widely accepted view in the literature on labor supply is that income taxation leads to much larger responses on the extensive margin (participation) than on the intensive margin (hours of work or earnings conditional on working). This finding has important implications for understanding the macroeconomic impacts of taxation and for the optimal design of tax and transfer policies (e.g., Piketty and Saez 2012). In this paper, we show that prior studies of short-run responses to tax reforms may have underestimated the importance of intensive-margin responses. Recent work suggests that a lack of knowledge about changes in the tax code and other adjustment frictions can lead to sluggish adjustment of labor supply, especially on the intensive margin (Chetty 2012). We develop a new research design that overcomes these frictions, and find intensive-margin responses to taxation that are similar in magnitude to previously documented extensive-margin responses.

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Our research design is based on a simple idea: individuals with no knowledge of a tax policy's marginal incentives behave as they would in the absence of the policy.¹ Hence, we can identify the causal effect of a policy by comparing behavior across cities that differ in knowledge about the policy but are otherwise comparable. We apply this method to analyze the impacts of the Earned Income Tax Credit (EITC), the largest means-tested cash transfer program in the United States, on earnings behavior and inequality. We exploit fine geographical heterogeneity across Zip codes by using data from US population tax records spanning 1996–2009, which include over 75 million unique EITC eligible individuals with children and 1 billion observations on their annual earnings.

Introduction – From Part 1 to Part 2

- Now the reader entered to your world
- Can offer R and A with a concise explanation and **Provoke questions:**
 - How do you apply this method?

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Introduction – From Part 1 to Part 2

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Our empirical analysis proceeds in two steps. First, we develop a proxy for local knowledge about the marginal rate structure of the EITC.² Ideally, one would measure knowledge directly using data on individuals' perceptions of the EITC schedule. Lacking such data, we proxy for knowledge using the extent to which individuals manipulate their reported income to maximize their EITC refunds by reporting self-employment income. Self-employed tax filers have a propensity to report income exactly at the first kink of the EITC schedule, the point that maximizes the refund.³ (Goolsbee, 2010) We then develop a measure of “local knowledge”

Introduction – Part 2

- Prepare for the Body of the Paper
 - Visualizing your paper
 - Headings
 - Main figures
 - Empirical strategy
- Provoke questions that will be answered in the body of the paper
- Use the RAP-outline to fill part 2
 - Rephrase takeaways
 - Some might be several paragraphs, some combined, some kicked out

Introduction – Create a Story Line

- Mankiw, Romer, Weil (1992, QJE)
- Read the first sentence of each paragraph
- Notice something?
- Each paragraph is carrying a phrase from the last one

Introduction – Putting it Together

- Logical transition from part 1 to 2?
- Skim the first sentence of each paragraph in Part 2:
 - What's the overall story?
 - Does each paragraph advance the argument by one point?
 - Is the order of points logical?
- Take a closer read of part 2
 - How do you vision the outline? does it match?
 - Can you imagine the main analysis of the paper correctly? (e.g. graphs/equations)

Introduction – Working on a paragraph

- Answer the main question(s) provoked by the first sentence
- Include logical connectors
 - Diversify types of connectors – forces you to argue differently and therefore strengthen your
 - argument
 - Not more than 1 negation (e.g., 'on the one hand... on the other hand')
- Fix key terms
 - Changing terms will confuse your readers
 - I know you were taught differently in school, to not 'bore' the reader
 - Keep them interested by progressing your argument
- Aim for about 5-6 sentences
 - Too little – might not be developed enough
 - Too much – might be more than one point buried in

Introduction – Working on a paragraph

- Drafting is very time-consuming – revising is inevitable
- Common mistake: takeaway at the end of the paragraph (writer's thought process)
 - Bring the takeaway to the top
 - Verify it is RAP-relevant
 - Can you revise the first sentence again?
- You may find more succinct ways to state your argument (and new things to say!)
- Iteration is progress! if you feel stuck in a circle, ask for feedback